

WHAT IS THE VOLATILITY CONTRACTION PATTERN?

After extensive research, the Volatility Contraction Pattern was popularized by the legendary trader Mark Minervini. *The VCP pattern relies on price action repeatedly pulling back to test its prior swing high resistance level.*



When this happens, the price structure indicates a strong underlying demand. As volatility decreases with each pullback, the range of the pattern gets shortened and hence tightens. This eventually results in an explosive breakout above the resistance level with a big green candle and heavy volumes.

Let us get to the interesting part now.